

workers. Even though they were getting paid by the quantity harvested, Woodruff was amazed that the other employees still worked slowly and wasted time. Spurred by the incentive that was directly linked to the amount of work completed, Woodruff and his sister were earning two to three times as much per hour as the other workers. Upset about the slowness at which the harvesting was progressing, his uncle eventually fired the local workers and hired migrant workers. Woodruff discovered that the migrant laborers worked so diligently and efficiently that they were earning more than twice as much as he and his sister were. Clearly, they understood incentives. Woodruff's high regard for the fairness and efficacy of incentive-based payment is reflected in his firm's highly unusual incentive-only fee structure (0 percent management and 30 percent incentive versus the more typical 1 percent to 2 percent management and 20 percent to 25 percent incentive).²

Woodruff attended the University of Virginia, which was only 20 miles from his family's farm. He knew he wanted to be a trader before he graduated from college. Much to his mother's consternation, after graduating in 1991, Woodruff never sought a job, but instead continued to apply himself to developing futures trading systems. A CTA he formed in partnership with a classmate shortly before his college graduation lasted only a few months. His partner's family had put up the seed money for their venture, which was the reason his partner owned 65 percent of the CTA. Woodruff was amenable to the minority share, but what he had not counted on was that his partner thought he was Woodruff's boss, an unacceptable arrangement prompting Woodruff's quick departure.

Several months later Woodruff formed another CTA partnership, Blue Ridge Trading. Woodruff was responsible for trading, and his partner, Robert Jordan, ran the business and did the marketing. Woodruff was hardly an immediate success. Trading began in October 1991. For the first three months and the subsequent two full years, Blue Ridge ended up slightly below breakeven for the period as a whole. But then in the third year, 1994, Woodruff's systems generated an 80 percent plus return for the first six months. Woodruff and Jordan had never bothered to sign a partnership agreement. Up to that point, they had split the firm's small net earnings. With his systems beginning to generate significant profits, Woodruff thought